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No. 94-623

Supreme Court, U.S.

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IN THE
Supreme Court of the United States
OCTOBER TERM, 1994

VIMAR SEGUROS Y REASEGUROS, S.A.,

Petitioner,

—v.—

M/V SKY REEFER, her Engines, etc., and M.H. MARITIMA, S.A.,

Respondents.

ON WRIT OF CERTIORARI TO THE UNITED STATES
COURT OF APPEALS FOR THE FIRST CIRCUIT

PETITIONER'S BRIEF

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QUESTION PRESENTED

Whether a foreign arbitration clause in a maritime bill of lading is invalid under section 3(8) of the Carriage of Goods by Sea Act, 46 U.S.C. 1303(8).

**PARTIES TO THE PROCEEDING
AND RULE 29.1 STATEMENT**

In addition to petitioner Vimar Seguros y Reaseguros, Bacchus Associates was an appellant in the court of appeals. Vimar is wholly owned by Hercules Hispano, S.A.

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OPINIONS BELOW

The opinion of the court of appeals (Pet. App. 1a-13a) is reported at 29 F.3d 727. The opinion of the district court on the merits (Pet. App. 14a-26a) is not officially reported but is available at 1993 WL 13743 (D. Mass. 1993), and its opinion certifying the legal issue for immediate appeal under 28 U.S.C. 1292(b) (Pet. App. 27a-30a) is unreported.

JURISDICTION

The judgment of the court of appeals was entered on July 7, 1994. A petition for a writ of certiorari was filed on October 5, 1994 and was granted on November 28, 1994. The jurisdiction of this Court rests on 28 U.S.C. 1254(1).

STATUTORY PROVISIONS INVOLVED

1. Section 3(8) of the Carriage of Goods by Sea Act, 46 U.S.C. 1303(8), provides:

Any clause, covenant, or agreement in a contract of carriage relieving the carrier or the ship from liability for loss or damage to or in connection with the goods, arising from negligence, fault, or failure in the duties and obligations provided in this section, or lessening such liability otherwise than as provided in this chapter, shall be null and void and of no effect.

2. Section 2 of the Federal Arbitration Act, 9 U.S.C. 2, provides in pertinent part:

A written provision in any maritime transaction * * * to settle by arbitration a controversy thereafter arising out of such contract * * * shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.

STATEMENT

A. Statutory Framework

1. Carriers' rights and obligations under COGSA

The Carriage of Goods by Sea Act ("COGSA"), 46 U.S.C. 1300 *et. seq.*, was enacted in 1936 "to define by law the rights and liabilities of water carriers and shippers in foreign commerce." See *Uniform Ocean Bills of Lading—Hague Rules*, H.R. Rep. No. 2218, 74th Cong., 2d Sess. 1 (1936). Modeled on the International Convention for the Unification of Certain Rules of Law Relating to Bills of Lading (the "Hague Rules"), COGSA prescribes both the rights and responsibilities of common carriers (the companies that own and operate the ocean-going vessels that carry cargo for hire), and the rights and responsibilities of shippers and consignees (the companies that own the cargo shipped on board the carriers' vessels).

The statute establishes a carefully-crafted balance of rights and duties. On the one hand, COGSA imposes on the carrier the nondelegable obligation "to exercise due diligence to * * * [m]ake the ship seaworthy" before and at the beginning of the voyage (46 U.S.C. 1303(1)), and to "properly and carefully load, handle, stow, carry, keep, care for, and discharge the goods carried" (46 U.S.C. 1303(2)). On the other hand, the statute immunizes the carrier from liability for losses resulting from numerous causes (46 U.S.C. 1304(2)(a) through (q)), including, for example, the "[a]ct, neglect or default of the master, mariner, pilot, or the servants of the carrier in the navigation or in the management of the ship" (46 U.S.C. 1304(2)(a)), or "[f]ire, unless caused by the actual fault or privity of the carrier" (46 U.S.C. 1304(2)(b)). The statute also limits a carrier's liability to \$500 per package or customary freight unit unless the cargo owner declares the value of the cargo in advance. 46 U.S.C. 1304(5).

2. The regulation of bills of lading under COGSA

COGSA also regulates "bills of lading"—the documents that evidence the transportation contract between the carrier and the cargo owner. A bill of lading is typically a single-page form document prepared by the carrier, which the carrier's agent issues to the shipper at the port of loading. See, e.g., J.A. 46-56.¹ It acknowledges the carrier's receipt of the cargo for transportation to a designated port of discharge; it is the contract of carriage between the carrier and the shipper (and subsequent holders of the bill of lading); and it is often a negotiable (*i.e.*, transferable) document of title issued to order, which the shipper negotiates to its buyer incident to the sale of the goods. The buyer or its consignee returns the bill of lading to the carrier or its agents at the port of discharge and takes delivery of the goods from the carrier. The reverse side of the bill of lading typically contains numerous boilerplate terms imposed unilaterally by the carrier. J.A. 49-56.

By its terms, COGSA applies to "[e]very bill of lading or similar document of title which is evidence of a contract for the carriage of goods by sea to or from ports of the United States, in foreign trade * * *." 46 U.S.C. 1300. Because the bills of lading drafted by carriers had historically contained various clauses designed to insulate the carriers from any liability for cargo damage—in conflict with the goals of COGSA—the statute sought to make bills of lading simple and uniform,²

¹ These pages comprise a single page document: J.A. 46-48 are the front side of the form bill of lading, and J.A. 49-56 are the reverse side of the form.

² As the House report explained:

The uniformity and simplification of bills of lading will be of immense value to shippers who will be relieved of the necessity of closely examining all bills of lading to determine the exceptions contained therein to ascertain their rights and responsibilities; to underwriters who insure the cargo and are met with the same difficulties; and to bankers who extend credit upon the bills of lading.

Uniform Ocean Bills of Lading—Hague Rules, H.R. Rep. No. 2218, 74th Cong., 2d Sess. 7 (1936).

and—what is of particular importance here—it restricted a carrier's ability to avoid liability by inserting limiting conditions in the bill of lading. Section 3(8) of COGSA, 46 U.S.C. 1303(8), specifically invalidates any bill-of-lading clause that "relieve[s]" or "lessen[s]" the carrier's liability under COGSA:

Any clause, covenant, or agreement in a contract of carriage relieving the carrier or the ship from liability for loss or damage to or in connection with the goods, arising from negligence, fault, or failure in the duties and obligations provided in this section, or lessening such liability otherwise than as provided in this chapter, shall be null and void and of no effect.

B. The Present Controversy

1. Petitioner, a Spanish insurance company, is the subrogated cargo underwriter of Bacchus Associates, a New York partnership and a wholesale distributor of fruit in New England.³ In February 1991, Bacchus contracted with a Moroccan supplier, Galaxie Negoce S.A. ("Galaxie"), to buy a shipload of Moroccan oranges, and chartered the M/V Sky Reefer, a refrigerated cargo ship, to transport the fruit from Morocco to New England. The Sky Reefer is owned by the respondent Maritima, a Panamanian corporation that is affiliated with certain Japanese shipping companies that chartered, operated, and managed the vessel.⁴

³ Petitioner issued to Bacchus a policy of marine cargo insurance that insured Bacchus against loss or damage to its goods. Bacchus submitted a claim for the damaged fruit in question to petitioner under that insurance policy and petitioner became subrogated to Bacchus' rights against respondents when it paid the major part of Bacchus' claim (in the sum of \$733,442.90). J.A. 13 ¶ 9; 40 ¶ 10.

⁴ Respondent Maritima, the vessel owner, initially time-chartered the Sky Reefer on a 3-year basis to Honma Senpaku Co., Ltd. of Tokyo (J.A. 57-62); Honma in turn chartered the vessel to Gyogyo Kaisha, Ltd. of Tokyo (*id.* at 63-68), which thereafter hired Nichiro Corporation to manage the vessel; and Nichiro Corporation in turn chartered the vessel to Bacchus for the voyage in question (*id.* at 69-81).

At the time the oranges were placed on board the Sky Reefer, local agents acting for the vessel's manager, Nichiro Corporation ("Nichiro"), a Japanese corporation based in Tokyo, issued a bill of lading to Galaxie, the shipper, stating that 2,058 pallets of oranges had been shipped on board the vessel from Agadir to New Bedford, Massachusetts. The bill of lading is a standard Nichiro form (J.A. 46-56), which became the contract of carriage between Bacchus and respondents when Galaxie negotiated the bill of lading to Bacchus. See 46 U.S.C. 1300, 1301(b) and 1312. Among the boilerplate provisions of the form bill of lading is a clause requiring that any dispute arising from the carriage of goods be arbitrated in Japan, pursuant to Japanese law (J.A. 49):

3. Governing Law and Arbitration

- (1) The contract evidenced by or contained in this Bill of Lading shall be governed by Japanese law.
- (2) Any dispute arising from this Bill of Lading shall be referred to arbitration in Tokyo by the Tokyo Maritime Arbitration Commission (TOMAC) of the Japan Shipping Exchange Inc., in accordance with the Rules of TOMAC and any amendments thereto, and the award by the arbitrators shall be final and binding on both parties.

Like the boilerplate terms in virtually all bills of lading, the Japanese law-and-arbitration clause was not the product of arm's length negotiations between Nichiro's local agents in Agadir and Galaxie, the Moroccan shipper.⁵ Nichiro's agents simply signed and delivered the bill of lading to the shipper

⁵ See, e.g., clause 2 of the bill of lading (J.A. 49 ¶ 2), stating that "[i]n accepting this Bill of Lading the Merchant [defined in clause 1 as including "the shipper, consignor, consignee, owner and receiver of the Goods and the holder of this Bill of Lading"] expressly accepts and agrees to all its terms, conditions, stipulations and exceptions whether written, typed, stamped or printed as fully as if signed by him."

once the cargo had been loaded on board the vessel. J.A. 41 ¶ 15.⁶

The vessel duly sailed from Agadir to New Bedford with the cargo. Only after the goods were en route did the shipper, Galaxie, tender the bill of lading to Bacchus, in accordance with the letter of credit opened in the shipper's favor. Bacchus first had notice of the Tokyo arbitration clause when it received the bill of lading from Galaxie. J.A. 41 ¶ 15.

By the time the ship arrived in New Bedford, the pallets of oranges had shifted in the cargo holds, crushing thousands of boxes of oranges, and resulting in a cargo loss in excess of \$1 million. J.A. 40 ¶ 10. The apparent cause of the damage was the crew's failure to lash and brace the cargo sufficiently for a trans-Atlantic crossing in mid-winter. J.A. 39 ¶ 6.

2. On December 20, 1991, petitioner filed suit in the United States District Court for the District of Massachusetts, naming respondent *Maritima in personam* and respondent *M/V Sky Reefer in rem*.⁷ Invoking the foreign arbitration clause in the bill of lading, respondents moved to stay the action pending arbitration in Japan. J.A. 36. Petitioner opposed the motion, contending that enforcement of the foreign arbitration clause would "lessen" the carrier's liability within the meaning of section 3(8) of COGSA.

⁶ Although the bill of lading purported to impose Japanese law and arbitration, its drafters recognized that COGSA might well apply nonetheless. The bill of lading stated (J.A. 56):

19. Local Clause

In case this Bill of Lading covers the Goods moving to or from the U.S.A. and it shall be adjudged that the Japanese law does not govern this Bill of Lading, then the provisions of the U.S. Carriage of Goods by Sea Act, 1936 shall govern before the Goods are loaded on and after they are discharged from the Vessel and throughout the entire time during which the Goods are in the actual custody of the Carrier.

⁷ Bacchus was also a plaintiff in the litigation to recover its uninsured loss (approximately \$250,000). See J.A. 11-14. For purposes of simplicity, we refer only to "petitioner."

The district court granted the motion (Pet. App. 14a-26a), holding that section 3(8) does not invalidate foreign arbitration clauses in maritime bills of lading. The court stated (*id.* at 18a) that section 3(8) must give way to the Federal Arbitration Act ("FAA"), which "specifically refers to bills of lading in defining types of agreements which might contain valid and irrevocable arbitration clauses." The court recognized (*id.* at 17a) that the Eleventh Circuit had reached the opposite conclusion in *State Establishment for Agricultural Product Trading v. M/V Wesermunde*, 838 F.2d 1576 (11th Cir.), *cert. denied*, 488 U.S. 916 (1988). In the court's view, however, the Eleventh Circuit had acted "without proper regard for the Supreme Court's mandate that lower courts discard their historical distrust of arbitrators, and give effect to private agreements to submit their disputes to private dispute resolution tribunals" (Pet. App. 18a).⁸

3. The court of appeals affirmed (Pet. App. 1a-13a). The court acknowledged (*id.* at 6a) that "§ 3(8) has been consistently used by federal courts to invalidate forum selection clauses in bills of lading governed by COGSA." It explained (*id.* at 9a), however, that the courts are "divided" on whether section 3(8) likewise invalidates foreign arbitration clauses. Explicitly rejecting (*id.* at 10a) the contrary decision of the Eleventh Circuit in *Wesermunde*, the court of appeals elected to "join those courts upholding the validity of foreign arbitration clauses in bills of lading subject to COGSA" (*ibid.*).

Significantly, the court of appeals "recognize[d] * * * that absent the FAA, COGSA might operate to nullify foreign arbitration clauses in bills of lading" (Pet. App. 10a n.5). The court surmised, however, that COGSA and the FAA were in "conflict" (*id.* at 11a), and it therefore applied "two canons of statutory interpretation" (*ibid.*) to resolve the conflict it per-

⁸ The district court thereafter certified the question for immediate appeal under 28 U.S.C. 1292(b) (Pet. App. 27a-30a). The court explained (*id.* at 28a) that the question whether foreign arbitration clauses violate COGSA "is a question as to which there is substantial ground for difference of opinion."

ceived. First, the court noted, "a later enacted statute generally limits the scope of an earlier statute if the two laws conflict"; under that principle, "the FAA must be given priority over COGSA in light of the FAA's reenactment in 1947, eleven years after COGSA was passed." *Id.* at 11a-12a. Second, the court stated, "where two statutes conflict, regardless of the priority of enactment, the specific statute ordinarily controls the general"; and under that principle, according to the court of appeals, the FAA again takes precedence, since it "specifically validates arbitration clauses contained in maritime bills of lading," whereas section 3(8) of COGSA "makes no reference to arbitration, or for that matter, forum selection clauses." *Id.* at 12a. In light of these statutory maxims—coupled with "the strong federal policy favoring arbitration" (*ibid.*)—the court held that "the FAA alone governs the validity of arbitration clauses, both foreign and domestic, and consequently removes them from the grasp of COGSA" (*id.* at 10a).

INTRODUCTION AND SUMMARY OF ARGUMENT

Congress enacted section 3(8) of COGSA "[i]n anticipation of persistent efforts by carriers, who are the drafters of ocean bills of lading, to limit or eliminate their own duties and responsibilities under [COGSA] * * *." *Encyclopaedia Britannica, Inc. v. SS Hong Kong Producer*, 422 F.2d 7, 12 (2d Cir. 1969), *cert. denied*, 397 U.S. 964 (1970). The foreign arbitration clause is but the latest in a long line of bill-of-lading clauses having "the strong likelihood of not only lessening the liabilities of the carrier but also stripping the shipper of all the protection afforded it by COGSA." *Id.* at 13. Under the sweeping command of section 3(8) of COGSA—which forbids "any" clause that "relieves" or even "lessens" a carrier's COGSA liabilities—a foreign arbitration clause is "null and void and of no effect." And the court of appeals erred in supposing that section 2 of the Federal Arbitration Act

requires the enforcement of a foreign arbitration clause that is otherwise prohibited by COGSA.

A. 1. The text of section 3(8) is stark and emphatic: "[a]ny clause, covenant, or agreement in a contract of carriage relieving the carrier from liability * * * or lessening such liability * * * shall be null and void and of no effect." Nearly 100 years ago, this Court—construing a nearly identical precursor to COGSA—declared foreign law clauses in ocean bills of lading null and void. *Knott v. Botany Worsted Mills*, 179 U.S. 69 (1900). Following that lead, courts have unanimously held that section 3(8) of COGSA invalidates foreign forum selection clauses, which require the cargo owner to sue the carrier in a remote foreign country, often under color of foreign law. A foreign arbitration clause, "a specialized kind of forum-selection clause," *Scherk v. Alberto-Culver Co.*, 417 U.S. 506, 519 (1974), is equally invalid and unenforceable under section 3(8) of COGSA, especially when (as here) coupled with a prohibited foreign law clause.

2. Foreign arbitration clauses also run afoul of the policies of COGSA. Congress enacted COGSA to "ensure uniformity in the basic rights and responsibilities arising out of bills of lading," *Mitsui & Co., Ltd. v. American Export Lines, Inc.*, 636 F.2d 807, 815 (2d Cir. 1981), in order to "enhance the currency and negotiability of ocean bills of lading," *Portland Fish Co. v. States Steamship Co.*, 510 F.2d 628, 632 (9th Cir. 1974), on the premise that "uniformity and simplification of bills of lading will be of immense value to shippers * * *; to underwriters * * *; and to bankers who extend credit upon the bills of lading." H.R. Rep. No. 2218, 74th Cong., 2d Sess. 7 (1936). A foreign arbitration clause frustrates those purposes by making the liabilities of ocean carriers substantially less uniform and far more uncertain.

B. The court of appeals acknowledged that "absent the FAA, COGSA might operate to nullify foreign arbitration clauses in bills of lading." Pet. App. 10a n.5. It concluded,

however, that COGSA and the FAA are in "conflict" and that "canons of statutory interpretation" were therefore required to decide between them. *Id.* at 11a. That was plainly mistaken. "The courts are not at liberty to pick and choose among congressional enactments, and when two statutes are capable of co-existence, it is the duty of the courts, absent a clearly expressed congressional intention to the contrary, to regard each as effective." *Morton v. Mancari*, 417 U.S. 535, 551 (1974). In our view, the two statutes are easily reconciled.

1. Certainly the *terms* of the statutes are compatible. Under the saving clause of section 2 of the FAA, arbitration agreements are enforceable "save upon such grounds as exist at law or in equity for the revocation of any contract." A bill-of-lading clause explicitly rendered "null and void" by section 3(8) of COGSA is necessarily revocable at law under section 2 of the FAA. In effect, the FAA does not remove foreign arbitration clauses in bills of lading "from the grasp of COGSA," as the court of appeals held (Pet. App. 10a); rather, COGSA, by virtue of the saving clause of section 2 of the FAA, removes foreign arbitration clauses "from the grasp" of the FAA.

2. The *policies* of the two statutes are reconcilable as well. Federal arbitration policy is implicated only when a party has voluntarily "agree[d] to arbitrate a statutory claim." *Mitsubishi Motors Corp v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 628 (1985). But a cargo owner virtually never "agrees" to the terms in a bill of lading, since they are invariably imposed, unilaterally, by the carrier. Moreover, federal arbitration policy has always taken account of competing federal statutory policies, and in this case the FAA can comfortably accommodate the policies of COGSA.

3. But even if the two statutes conflict, the court of appeals selected the wrong winner. COGSA, not the FAA, is the more specific statute. And COGSA therefore takes precedence even if the FAA were the later enacted statute—a postulate which

itself is highly doubtful given the sharply limited purpose of the enactment of the FAA as positive law in 1947.

ARGUMENT

A FOREIGN ARBITRATION CLAUSE IN A MARITIME BILL OF LADING IS INVALID UNDER SECTION 3(8) OF THE CARRIAGE OF GOODS BY SEA ACT

A. Section 3(8) of COGSA Prohibits Foreign Arbitration Clauses in Maritime Bills of Lading

The indisputable premise of COGSA is that bills of lading for the carriage of goods by sea—drafted by ocean carriers to suit their exclusive interests—require special treatment under the law. For that reason, section 3(8) of COGSA invalidates any "clause, covenant or agreement" in a bill of lading that either "relieves" or "lessens" a carrier's COGSA liabilities. In light of that stark command, the courts have uniformly held that foreign *forum selection* clauses—which force cargo owners to litigate their claims in a foreign court, typically under color of foreign law—effectively lessen the carrier's COGSA liability and are therefore null and void under section 3(8).

A foreign *arbitration* clause, particularly when (as here) tied to a foreign law clause, has precisely the same prohibited purpose and effect. It forces the cargo owner, without consent, to present its claim at great and often prohibitive expense in a remote foreign jurisdiction, in arbitral proceedings not of its choosing, with no guarantee that the foreign arbitrators would apply controlling COGSA law. Foreign arbitration clauses also thwart the primary purpose of COGSA—to make bill-of-lading claims readily and uniformly enforceable—while at the same time depriving American cargo owners and insurers of their statutory right to enforce their cargo claims in the United States. Like foreign *forum selection* clauses, foreign *arbitration* clauses are therefore prohibited by section 3(8).

1. The terms of section 3(8) prohibit foreign arbitration clauses in bills of lading

a. Section 3(8) prohibits any bill-of-lading clause that effectively "relieves" or "lessens" a carrier's liability under COGSA

COGSA prescribes a detailed set of rights and responsibilities for carriers engaged in foreign maritime transactions with the United States.⁹ And by its terms, COGSA brooks no exceptions: its rules apply to "[e]very bill of lading or similar document of title which is evidence of a contract for the carriage of goods by sea to or from ports of the United States, in foreign trade, * * *." (46 U.S.C. 1300). See also (46 U.S.C. 1312) (emphasis added) ("[t]his chapter shall apply to *all* contracts for carriage of goods by sea to or from ports of the United States in foreign trade").

To ensure that carriers do not circumvent COGSA rules by inserting inconsistent terms in bills of lading, section 3(8) of COGSA provides (emphasis added):

Any clause, covenant, or agreement in a contract of carriage relieving the carrier or the ship from liability for loss or damage to or in connection with the goods, arising from negligence, fault, or failure in the duties and obligations provided in this section, or lessening such liability otherwise than as provided in this chapter, shall be null and void and of no effect.

⁹ The balance is carefully struck: On the one hand, COGSA imposes on the carrier the nondelegable obligation "to exercise due diligence to * * * [m]ake the ship seaworthy" before and at the beginning of the voyage (46 U.S.C. 1303(1)), and to "properly and carefully load, handle, stow, carry, keep, care for, and discharge the goods carried" (46 U.S.C. 1303(2)). On the other hand, the statute immunizes the carrier from liability for losses resulting from numerous causes (46 U.S.C. 1304(2)(a) through (q)), including, for example, the "[a]ct, neglect or default of the master, mariner, pilot, or the servants of the carrier in the navigation or in the management of the ship" (46 U.S.C. 1304(2)(a)), or "[f]ire, unless caused by the actual fault or privity of the carrier" (46 U.S.C. 1304(2)(b)).

Section 3(8) sweeps broadly, prohibiting "any" clause in a "contract of carriage" that either "reliev[es]" or merely "lessen[s]" a carrier's liability under COGSA. The words are deliberately expansive: To "lessen" liability, as one authority notes, is to make it "less in size, quantity, scope, amount, etc." *The Oxford English Dictionary* (1971). And such breadth is necessary, because ocean carriers are constantly inventing "new and ingenious device[s] * * * [to strip] the shipper of all the protection afforded it by COGSA." *Encyclopaedia Britannica, Inc. v. SS Hong Kong Producer*, 422 F.2d 7, 13 (2d Cir. 1969), *cert. denied*, 397 U.S. 964 (1970). The courts have therefore construed the terms of section 3(8) liberally, to forbid any bill-of-lading clause whose practical effect would lessen the carrier's liability under COGSA—including by displacing (or threatening to displace) the application of COGSA rules.

This Court adopted exactly that view in *Knott v. Botany Worsted Mills*, 179 U.S. 69 (1900), construing section 1 of the Harter Act, 46 U.S.C. 190, a nearly identical precursor to section 3(8) of COGSA. Like section 3(8), section 1 of the Harter Act prohibited any bill-of-lading clause that "relieved" a carrier of certain liabilities.¹⁰ The question in *Knott* was whether section 1 of the Harter Act prohibited a clause requiring that contractual disputes be resolved under "the law of the ship's flag"—in that case, England. The Court held that section 1 prohibited the clause. As the Court put it: "This express

¹⁰ 46 U.S.C. 190 provides in pertinent part as follows:

It shall not be lawful for the manager, agent, master, or owner of any vessel transporting merchandise or property from or between ports of the United States and foreign ports to insert in any bill of lading or shipping document any clause, covenant, or agreement whereby it, he, or they shall be *relieved* from liability for loss or damage arising from negligence, fault, or failure in proper loading, stowage, custody, care, or proper delivery of any and all lawful merchandise or property committed to its or their charge. Any and all words or clauses of such import inserted in bills of lading or shipping receipts shall be *null and void and of no effect*. Act of Feb. 13, 1893, c. 105 § 1, 27 Stat. 445. (Emphasis added.)

provision of the act of Congress overrides and nullifies the stipulations of the bill of lading that * * * the contract shall be governed by the law of the ship's flag." 179 U.S. at 77.

b. Courts uniformly strike down foreign forum selection clauses because they relieve or lessen carrier liability

Consistent with *Knott*, the lower federal courts have routinely invalidated bill-of-lading terms whose practical effect, if sustained, would lessen a carrier's liability under COGSA. Until very recently—when carriers have begun to impose foreign arbitration clauses—their most common tactic was to insert foreign forum selection clauses in bills of lading.¹¹ Applying section 3(8) of COGSA, the courts of appeals have uniformly struck down such provisions.¹²

¹¹ But carriers have resorted to many other devices as well. In *Encyclopaedia Britannica, Inc. v. SS Hong Kong Producer*, 422 F.2d 7 (2d Cir. 1969), cert. denied, 397 U.S. 964 (1970), for example, the Second Circuit, guided in part by this Court's decision in *United States v. Atlantic Mut. Ins. Co.*, 343 U.S. 236 (1952) (invalidating both-to-blame clause in carriers' bills of lading), rejected a bill-of-lading clause that purported to reduce the carrier's liability for goods stowed above deck. The court explained that this clause, "[i]n spite of the clear intent and purpose of COGSA" (422 F.2d at 12), was merely the latest "new and ingenious device which carries with it the strong likelihood of not only lessening the liabilities of the carrier but also stripping the shipper of all the protection afforded it by COGSA." *Id.* at 13. And the court cautioned that while that particular clause was not yet "common or widespread in bills of lading," inevitably "it would speedily be adopted, if it were held to be valid, because of the enormous advantage it gives the carriers" (*id.* at 13 n.3).

¹² See *Hughes Drilling Fluids v. M/V Luo Fu Shan*, 852 F.2d 840 (5th Cir. 1988) (invalidating bill-of-lading clause requiring suit against Chinese carrier in China), cert. denied, 489 U.S. 1033 (1989); *Conklin & Garrett, Ltd. v. M/V Finnrose*, 826 F.2d 1441, 1142-1144 (5th Cir. 1987) (invalidating bill-of-lading clause requiring suit against Finnish carrier in Finland under Finnish law); *Union Ins. Soc. of Canton, Ltd. v. S.S. Elikon*, 642 F.2d 721, 723-725 (4th Cir. 1981) (invalidating bill-of-lading clause requiring suit against German carrier in Germany under Ger-

Judge Friendly's opinion for the en banc court in *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200 (2d Cir. 1967)—invalidating a Norwegian forum selection clause in a Norwegian carrier's bill of lading—is the leading decision. Relying on this Court's decision in *Knott*, Judge Friendly explained that "[f]rom a practical standpoint, to require an American plaintiff to assert his claim only in a distant court lessens the liability of a carrier quite substantially, particularly when the claim is small." *Id.* at 203 (emphasis added). A foreign suit clause puts "a high hurdle" in the way of enforcing liability (quoting G. Gilmore & C. Black, *The Law of Admiralty* 125 n.3 (1957)), and "would almost certainly lessen liability if the law which the court would apply was neither [COGSA] nor the Hague Rules." *Ibid.* And even if the foreign court applied "one or the other of these regimes, requiring trial abroad might lessen the carrier's liability since there could be no assurance that it would apply them in the same way as would an American tribunal subject to the uniform control of the Supreme Court, and § 3(8) can well be read as covering a potential and not simply a demonstrable lessening of liability," *id.* at 203-04 (emphasis in the original). As Judge Friendly summarized the point: "Congress meant," by section 3(8), "to invalidate any contractual provision in a bill of lading for a shipment to or from the United States that would

man law); *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200 (2d Cir. 1967) (invalidating bill-of-lading clause requiring suit against Norwegian carrier in Norway); *Underwriters at Lloyd's of London v. M/V Steir*, 773 F. Supp. 523 (D.P.R. 1991) (invalidating bill-of-lading clause requiring suit against French carrier in France); *C.A. Seguros Orinoco v. Naviera Transpapel, C.A.*, 677 F. Supp. 675 (D.P.R. 1988) (invalidating bill-of-lading clause requiring suit against Venezuelan carrier in Venezuela); *Mitsui & Co., Ltd. v. M/V Glory River*, 464 F. Supp. 1004 (W.D. Wash. 1978) (invalidating bill-of-lading clause requiring suit against Japanese carrier in Tokyo under Japanese law); *Northern Assurance Co., Ltd. v. M/V Caspian Career*, 1977 A.M.C. 421 (N.D. Cal. 1977) (invalidating bill-of-lading clause requiring suit against Japanese carrier in Tokyo under Japanese law); *M.G. Chem Corp. v. M/V Sun Castor*, 1978 A.M.C. 1756 (D. Alaska 1977) (invalidating bill-of-lading clause requiring suit against Japanese carrier in Tokyo).

prevent cargo able to obtain jurisdiction over a carrier in an American court from having that court entertain the suit and apply the substantive rules Congress has prescribed." *Id.* at 204. Accord, *Union Ins. Soc. of Canton, Ltd. v. S.S. Elikon*, 642 F.2d 721, 724 (4th Cir. 1981) ("enforcement of foreign forum selection clauses could lead to the recrudescence of bills of lading that would effectively frustrate shippers' ability to recover damages from negligent carriers"); *Conklin & Garrett Ltd. v. M/V Finnrose*, 826 F.2d 1441, 1444 (5th Cir. 1987) ("[i]t is *entirely unrealistic* to look to an obligation to sue overseas as not 'lessening' the liability of the carrier") (emphasis added).¹³

The lesson of the case law is clear: a bill-of-lading clause that threatens to displace the application of COGSA rules thereby "lessens" a carrier's liability for purposes of section 3(8). As a leading commentator puts it:

[I]t is hard to see how it can be looked on as other than a "lessening" of the carrier's liability under COGSA to remit the bill of lading holder to a distant foreign court. It is quite true that the difficulty imposed would vary with circumstances; Canada is not Pakistan. But there is always some palpable "lessening," for if the choice-of-forum clause is ever enforced, the result must be to dismiss the litigant out of the United States court he has chosen to sue in. On most moderate-sized claims, remission to the foreign forum is a practical immunization of the carrier from liability.

¹³ See also *The Morviken*, [1983] 1 Lloyd's Law Rep. 1, 6-7 (applying article III, rule 8 of the Hague-Visby Rules, the counterpart of Section 3(8) of COGSA, to invalidate a Dutch law-and-forum clause; rejecting the contention that the "choice of forum clause" prescribed only "the procedure by which disputes under the contract of carriage are to be resolved;" and holding that such a view "would leave it open to any shipowner to evade the provisions of art. III, r. 8 by the simple device of inserting in his bills of lading * * * a clause in standard form providing as the exclusive forum for resolution of disputes what might aptly be described as a Court of convenience").

Charles L. Black, Jr., *The Bremen, COGSA and the Problem of Conflicting Interpretation*, 6 Vand. J. Trans. L. 365, 368-369 (1973).

c. A foreign arbitration clause, a type of forum selection clause, effectively lessens or even relieves COGSA liability and is therefore invalid under section 3(8)

1. A foreign arbitration clause—no less than a foreign forum selection clause—effectively "lessens" COGSA liability and is invalid under section 3(8) for exactly the same reasons. Like the foreign forum selection clause, a foreign arbitration clause, "a specialized kind of forum-selection clause," *Scherk v. Alberto-Culver Co.*, 417 U.S. 506, 519 (1974), forces the cargo owner to prove its claim, at appreciably greater (and often prohibitive) expense, in a foreign jurisdiction that is deliberately remote from the relevant evidence and witnesses. It requires the cargo owner, provided it can marshal abroad the evidence and testimony otherwise at hand in the United States, to make its claim intelligible to foreign arbitrators, under foreign arbitral procedures not of its choosing. Such handicaps, "[f]rom a practical standpoint," also "lessen [] the liability of the carrier quite substantially" (*Indussa*, 377 F.2d at 203), and impose an equally "high hurdle" in the way of enforcing the carrier's liability (*ibid.*).

The present case illustrates the point. Virtually all the evidence and most of the witnesses—including the terminal operators who took delivery of the damaged cargo, the several surveyors who examined it, the processors who reconditioned it, and the adjusters who approved payment of the claim—are located in the Northeastern United States (see J.A. 39-41 ¶¶ 6-14). Under the ruling below, petitioner would nevertheless be required, at great expense, to present that evidence and testimony (the witnesses permitting) in Tokyo, in a manner persuasive to Japanese arbitrators, under arbitral procedures chosen solely by respondents. The foreign arbitration clause,

therefore, has the undoubted practical effect of deterring cargo-damage claims both large and small, by attaching substantial evidentiary risks and prohibitive costs to the enforcement of such claims. Moreover, the commercial pressure on claimants to end a costly, unpredictable overseas arbitration by discounting and settling even the largest and strongest claims would be unrelenting. By any realistic measure, such calculated immunization from claims is a prohibited "lessening" of the carrier's liability.

But more than burdensome transaction costs and evidentiary risks are at stake: as this Court has observed, "the designation of arbitration in a certain place" commonly entails "selecting the law of that place to apply to that transaction." *Scherk v. Alberto-Culver Co.*, 417 U.S. 506, 519 n.13 (1974). In that event, to paraphrase *Indussa*, a foreign arbitration clause "would almost certainly lessen liability if the law which the [arbitrators] would apply was neither [COGSA] nor the Hague Rules." 377 F.2d at 203. Indeed, even if the foreign arbitrators applied COGSA, requiring arbitration abroad "might lessen the carrier's liability since there could be no assurance that [the arbitrators] would apply them in the same way as would an American tribunal subject to the uniform control of the Supreme Court." *Id.* at 203-04 (emphasis in the original).¹⁴ The prohibited risk that COGSA rights would not be enforced abroad would be no less real if a claim were submitted to foreign arbitrators as opposed to foreign judges.

For precisely those reasons, the Eleventh Circuit, in *State Establishment for Agricultural Product Trading v. M/V Weser-*

¹⁴ In a footnote in the *Indussa* opinion, the court noted in *dicta* that its ruling "does not touch the question of arbitration clauses in bills of lading which require this to be held abroad," 377 F.2d at 204, n.4, but that "[i]f there be any inconsistency between the [FAA and COGSA], presumably the Arbitration Act would prevail by virtue of its reenactment as positive law in 1947" (*ibid.*). As explained at 25-33 *infra*, however, the FAA and COGSA are not inconsistent. The enactment of the FAA as positive law in 1947 also does not give the FAA, which was first enacted in 1925, any substantive priority over COGSA (see 37-38 *infra*).

munde, 838 F.2d 1576 (11th Cir.), *cert. denied*, 488 U.S. 916 (1988), held that section 3(8) of COGSA invalidates foreign arbitration clauses, just as it does foreign suit clauses.¹⁵ The court explained that COGSA was "intended to reduce uncertainty concerning the responsibilities and liabilities of carriers, the responsibilities and rights of shippers, and the liabilities of underwriters who insure waterborne cargo." 838 F.2d at 1580. "By strictly circumscribing the ability of carriers to avoid liability on cargoes in their care, COGSA also greatly enhances the negotiability of bills of lading." *Ibid.* Toward that end, the court pointed out, COGSA "void[s] overreaching clauses inserted by carriers in their bills of lading that unreasonably limit the carrier's liability or obstructs the freight claimant's ability to secure redress." *Ibid.* Thus, the court noted, foreign suit clauses have been uniformly rejected under COGSA "because such provisions, as a practical matter, tend to lessen the liability of the carrier, particularly where the claim is small." *Id.* at 1580-1581.

The court in *Wesermunde* held that COGSA likewise invalidates foreign arbitration clauses in ocean bills of lading. To be sure, the court noted, arbitration as such does not violate COGSA, "in light of Congress' encouragement of arbitration by its enactment of the Arbitration Act, 9 U.S.C. §§ 1-14 (1970) * * *." 838 F.2d at 1581. The court held, however, with the FAA firmly in mind, that "a provision requiring arbitration in a foreign country that has no connection with either the performance of the bill of lading contract or the making of the bill of lading contract is a provision that would conflict with COGSA's general purpose of not allowing carriers to lessen their risk of liability." *Ibid.* (emphasis in the original).

2. Because they impose substantial costs on shippers, and threaten to displace the application of COGSA liability rules,

¹⁵ Accord, *Organes Enter., Inc. v. M/V Khalij Frost*, No. 88 Civ. 4710, 1989 WL 37660 (S.D.N.Y. April 12, 1989); *Siderius, Inc. v. M.V. Ida Prima*, 613 F. Supp. 916 (S.D.N.Y. 1985); *Pacific Lumber & Shipper Co., Inc. v. Star Shipping A/S*, 464 F. Supp. 1314 (W.D. Wash. 1979).

foreign arbitration clauses are invariably impermissible under section 3(8) of COGSA.¹⁶ But at the very least, foreign arbitration clauses are plainly invalid when they are coupled with a provision requiring the application of foreign substantive law. In that event, enforcing the arbitration provision is tantamount to abrogating COGSA liability rules—in flat contravention of the stark command of the statute. See 46 U.S.C. 1312 (emphasis added) (“[t]his chapter shall apply to *all* contracts for carriage for of goods to or from ports of the United States in foreign trade”). As this Court recognized in *Knott*, a bill-of-lading clause requiring the application of foreign law cannot be squared with the plain language of the statute. And as the Court flatly stated in *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 637 n.19 (1985), “in the event the choice-of-forum and choice-of-law clauses operated in tandem as a prospective waiver of a party’s right to pursue statutory remedies * * *, we would have little hesitation in condemning the agreement as against public policy.”¹⁷

¹⁶ In addition to their other infirmities, foreign arbitration clauses pose severe difficulties for cargo owners who believe that their COGSA rights have been abridged by a foreign arbitrator. It is exceedingly difficult for parties to vacate arbitration awards issued in the United States, and it would be even more difficult in the case of awards issued abroad. “Courts are generally prohibited from vacating an arbitration award on the basis of errors of law or interpretation,” and “the express terms of 9 U.S.C. §§ 10 and 11 have often been deemed the exclusive grounds for vacation or modification.” *Ainsworth v. Skurnick*, 960 F.2d 939, 940 (11th Cir. 1992). Based on *Wilko v. Swann*, 346 U.S. 427, 436-37 (1953), some courts recognize a “judicially-created” “manifest disregard of the law” standard for vacating arbitration awards, but “the bounds of this ground have never been defined, it clearly means more than error or misunderstanding with respect to the law,” and “the term ‘disregard’ implies that the arbitrator appreciates the existence of a clearly governing legal principle but decides to ignore or pay no attention to it,” *Merrill, Lynch, Pierce, Fenner & Smith v. Bobker*, 808 F.2d 930, 933 (2d Cir. 1986), an abuse which is often impossible to prove. *Advest, Inc. v. McCarthy*, 914 F.2d 6, 10 (1st Cir. 1990).

¹⁷ Accord, Charles L. Black Jr., *The Bremen, COGSA and the Problem of Conflicting Interpretation*, 6 Vand. J. Trans. L. 365, 366

That is precisely petitioner’s position in this case. The bill of lading not only requires arbitration in Japan; it also states that “[t]he contract evidenced by or contained in this Bill of Lading shall be governed by Japanese law.”¹⁸ In particular, according to respondent’s own expert (J.A. 44 ¶ 7), the arbitration proceedings in Japan would be governed by the Japanese Hague Rules, which would have severe consequences for petitioner: unlike COGSA, which, by judicial construction, imposes on the carrier a *non-delegable* obligation to load and stow the cargo properly (46 U.S.C. 1303(2)), e.g., *Assoc. Metals & Minerals Corp. v. M/V Artkis Sky*, 978 F.2d 47, 50 (2d Cir. 1992); *Nichimen Co. v. M/V Farland*, 462 F.2d 319, 330 (2d Cir. 1972), the comparable provision in the Japanese Hague Rules purports to impose the duty to load and stow the cargo only on the carrier and “the persons employed by him” (J.A. 112) (Article 3(1))—and thus would appear not to cover this case, in which the stevedores who loaded and stowed the boxes of oranges in Morocco were hired by the shipper.¹⁹ COGSA forbids that outcome. Because a foreign

(1973) (“[a] stipulation for foreign law must have the effect of lessening carrier liability, or it is valueless to the carrier who inserted it, and the denial of its benefits does no harm to him”).

¹⁸ To be sure, the Nichiro bill of lading provides that COGSA rules will be applied if “it shall be adjudged that the Japanese law does not govern this Bill of Lading * * *” (J.A. 56 ¶ 19). But there is no *judgment* that Japanese law “does not govern this Bill of Lading.” The arbitrators would thus be free, by the terms of the bill of lading, to apply Japanese law, and respondents’ Japanese law expert concedes they would do so. See J.A. 44 ¶ 7 (affidavit of Seiichi Nakamura).

¹⁹ See Note, *A COGSA Carrier’s Duty to Load and Stow Cargo Is Nondelegable, Or Is it?: Associated Metals & Minerals Corp. v. M/V Artkis Sky*, 18 Tul. Mar. L. J. 125 (1993). Such disparity in the law among nations—even where that law is grounded in an international convention such as the Hague Rules—is unavoidable. “It remains lamentable that there should be so much advantage in choice of law or choice of forum, after the long efforts toward ‘unification’ represented by COGSA. Leaving aside minor textual differences among the Acts of the different nations, the trouble is that the technique for producing uniformity in the

arbitration clause—particularly (but not only) a clause that is coupled with a foreign law provision—“lessens” a carrier’s liability under COGSA, it is forbidden by section 3(8).

2. Foreign arbitration clauses cannot be squared with the purposes of COGSA—to promote uniformity and certainty, and thus the negotiability, of maritime bills of lading

COGSA “was intended to reduce uncertainty concerning the responsibilities and liabilities of carriers, the responsibilities and rights of shippers and the liabilities of underwriters who insure waterborne cargo.” *Union Ins. Soc. of Canton, Ltd. v. S.S. Elikon*, 642 F.2d 721, 723 (4th Cir. 1981). “The most outstanding benefits [of COGSA] are simplification and uniformity of bills of lading, * * * and denial to the carrier of power to exempt itself from various classes of liability by riders and exempting clauses in bills of lading at present so numerous and so technical as to create confusion and to occasion untold litigation.” *Uniform Ocean Bills of Lading—Hague Rules*, H.R. Rep. No. 2218, 74th Cong., 2d Sess. 6-7 (1936). Such “uniformity and simplification,” Congress concluded, “will be of immense value to shippers who will be relieved of the necessity of examining all bills of lading to determine the exceptions contained therein to ascertain their rights and responsibilities; to underwriters who insure the cargo and are met with the same difficulties; and to bankers who extend credit upon the bills of lading.” *Id.* at 7.²⁰

world’s bill of lading law—the technique of procuring agreement on a text—is fatally defective; a text must be interpreted, and interpretations will surely diverge. No one can read the American COGSA cases—on deviation, on the Both-to-Blame Clause, on the definition of a ‘package’ and so on—without becoming aware that only direct Providential guiding of the judicial hand could produce uniformity of interpretation among Israel, Barbados, Belgium and Egypt.” Charles L. Black, Jr., *The Bremen, COGSA and the Problem of Conflicting Interpretation*, 6 Vand. J. Trans. L. 365, 369 (1973).

²⁰ “The history of COGSA leaves no room for doubt” that one of the “dominant objectives of Congress” was “to ensure uniformity in the

Congress achieved the desired simplification and uniformity by requiring the application of COGSA liability rules to “all” bills of lading for goods carried to or from the United States. 46 U.S.C. 1300, 1312. By dint of COGSA, the carrier’s liability is governed largely by statute, not by contract. As a result, cargo owners and their insurers no longer have to “examin[e] [the] bills of lading to * * * ascertain [the carrier’s] rights and responsibilities.” *Id.* at 7. And section 3(8) guarantees the integrity of the statutory allocation of rights and liabilities by nullifying any contractual clause, covenant, or agreement that purports to relieve the carrier of the liability imposed by COGSA—or which has the equally prohibited practical effect of lessening that liability.

Furthermore, “[b]y strictly circumscribing the ability of carriers to avoid liability on cargoes in their care, COGSA also greatly enhance[s] the negotiability of bills of lading.” *Union Ins. Soc. of Canton*, 642 F.2d 721, 723 (4th Cir. 1981). And while “‘COGSA allows a freedom of contracting out of its terms,’ ” it does so “‘only in the direction of increasing the shipowner’s liability, and never in the direction of diminishing them. This apparent onesidedness is a commonsense recognition of the inequality in bargaining power which * * * COGSA [was] designed to redress * * *.’ ” *Conklin & Garrett, Ltd. v. M/V Finnrose*, 826 F.2d 1441, 1443-1444 (5th Cir. 1987) (quoting G. Gilmore & C. Black, *The Law of Admiralty* 146 (1975)).

Foreign arbitration clauses, no less than foreign forum selection clauses, undermine the congressional design. The fundamental premise of COGSA is that bills of lading should

basic rights and responsibilities arising out of bills of lading * * *.” *Mitsui & Co. Ltd. v. American Export Lines, Inc.*, 636 F.2d 807, 815 (2d Cir. 1981). In addition to “effectuating a standard and uniform set of provisions for ocean bills of lading,” Congress enacted section 3(8) expressly “[i]n anticipation of persistent efforts by carriers, who are the drafters of ocean bills of lading, to limit or eliminate their own duties and responsibilities under [COGSA].” *Encyclopaedia Britannica, Inc.*, 422 F.2d at 11-12.

be easily, and predictably, enforceable. See *Union Ins. Soc. of Canton*, 642 F.2d 721, 723-725 (4th Cir. 1981). Central to such enforceability is the availability of a convenient forum in which a single body of law will be recognized and applied. By governing *all* contracts of carriage for goods touching United States ports, COGSA enables businessmen engaged in the foreign commerce of the United States to buy and sell goods confident that their COGSA rights will not be infringed by bill-of-lading terms that lessen those rights—including terms that require foreign arbitration, typically (as here) under foreign law.

But no cargo owner, underwriter or banker faced with a foreign arbitration clause can readily ascertain its rights or the carrier's legal liability. Nor can such parties reasonably predict how the carrier's liability would be enforced by foreign arbitrators in the carrier's home jurisdiction, after the claimant has presented its claim, with great difficulty and expense, in that remote forum. Instead of COGSA, American cargo owners and insurers—with no choice in the matter—would face an array of different laws and procedures, to be interpreted by unknown foreign arbitrators. Such laws and procedures would depend, in each case, on the nationality of the carrier and the arbitral procedures chosen by that carrier alone. That would severely erode COGSA's objective: "to enhance the currency and negotiability of ocean bills of lading," *Portland Fish Co. v. States Steamship Co.*, 510 F.2d 628, 632 (9th Cir. 1974). The ocean bill of lading would soon be a document rife with uncertainty.

The court of appeals' decision cannot be squared with the purpose of COGSA to make ocean bills of lading simply and uniformly enforceable. Following the court of appeals' lead, a carrier could oust an American court from the jurisdiction conferred by COGSA simply by providing, in the bill of lading, for arbitration, not litigation, overseas. And for carriers, that result is easily accomplished—since a bill of lading is not an arm's-length agreement, but rather is most often a pre-

printed form imposed, unilaterally, by the carrier. With a single stroke of fine print, the carriers could—and, if the decision below were allowed to stand, inevitably would—deprive American purchasers of their COGSA rights. In that event, American cargo owners would soon be deprived of their historic right to recover their cargo losses in a United States forum.²¹

B. The FAA Does Not Require Enforcement Of A Foreign Arbitration Clause That Is Otherwise Prohibited By Section 3(8) Of COGSA

The court of appeals conceded that "absent the FAA, COGSA might operate to nullify foreign arbitration clauses in bills of lading." Pet. App. 10a n.5. It concluded, however, that COGSA and the FAA are in "conflict" and that "canons of statutory interpretation" were therefore required to decide between them. *Id.* at 11a. Applying those statutory maxims, together with "the strong federal policy favoring arbitration" (*id.* at 12a), the court below held that the FAA "removes" foreign arbitration clauses "from the grasp of COGSA." The court's analysis is flawed at every turn.

1. The terms of COGSA and the FAA are easily reconciled, and COGSA controls in this setting

The court of appeals took as its operating premise that section 3(8) of COGSA and the FAA are "in conflict," and it therefore sought to pick the winner. That was mistaken. "The courts are not at liberty to pick and choose among congressional enactments, and when two statutes are capable of co-

²¹ The court of appeals' decision also creates an indefensible dichotomy between foreign *suit* clauses and foreign *arbitration* clauses. According to the court of appeals, if a carrier imposes a foreign *suit* requirement, COGSA will govern and invalidate the clause. But if a carrier imposes foreign *arbitration*, the result will be just the opposite. Section 3(8) of COGSA makes no such distinction on its face, nor does any such distinction make sense.

existence, it is the duty of the courts, absent a clearly expressed congressional intention to the contrary, to regard each as effective." *Morton v. Mancari*, 417 U.S. 535, 551 (1974). Accord, *County of Yakima v. Confederated Tribes and Bands of the Yakima Indian Nation*, 112 S.Ct. 683, 692 (1992). Courts must "read federal statutes 'to give effect to each if [they] can do so while preserving their sense and purpose.'" *Pittsburgh & Lake Erie R. Co. v. Railway Labor Executives' Ass'n*, 491 U.S. 490, 510 (1989). The "cardinal principle," this Court has explained, is "to give effect to both [statutes] if possible." *United States v. Borden Co.*, 308 U.S. 188, 198 (1939).

In fact, the FAA and COGSA do not pose an "either-or proposition" (*Connecticut National Bank v. Germain*, 112 S.Ct. 1146, 1149 (1992)), but instead are readily reconcilable. By its terms, section 2 provides for the enforceability of arbitration clauses "save upon such grounds as exist at law or in equity for the revocation of any contract." One such "ground" is when the contract violates another federal statute, such as COGSA: "The general rule of law is that a contract made in violation of a statute is void." *Miller v. Ammon*, 145 U.S. 421, 426 (1892). As this Court has emphasized, "it has never been doubted that, as a general rule, a contract made in contravention of a statute is void and cannot be enforced." *Burck v. Taylor*, 152 U.S. 634, 649 (1894). Accord, *Connolly v. Union Sewer Pipe Co.*, 184 U.S. 540, 548 (1902).

That is precisely the situation in this case. Under section 3(8) of COGSA, a bill-of-lading arbitration clause is explicitly "null and void and of no effect," and is therefore revocable "at law" under section 2 of the FAA. See *Southland Corp. v. Keating*, 465 U.S. 1, 20 (1984) (Stevens, J., concurring and dissenting) ("A contract which is deemed void is surely revocable at law or in equity * * *").²² In effect, the

²² "[A] voidable contract is a common occurrence in the law. Infancy, fraud, mistake, duress, some kinds of illegality, all afford ground for rescinding or refusing to perform a contract." 1 *Williston on Contracts*

court of appeals got it exactly backwards: The FAA does not remove foreign arbitration clauses "from the grasp of COGSA" (Pet. App. 10a); rather, COGSA—by virtue of the saving clause in section 2 of the FAA—removes foreign arbitration clauses in bills of lading "from the grasp" of the FAA.²³ Because COGSA and the FAA are therefore reconcilable, § 1.20 (1990) at 49-50 (emphasis added). Accordingly, "[t]he common law * * * proscribes various types of executory agreements," and "[i]llegal bargains have been classified both by the common law and in statutory enactments as those opposed to positive law * * *." 5 *Williston on Contracts* § 12.1 (1993). As a result, "it is clear that contracts in direct violation of statutes expressly forbidding their execution cannot be enforced;" *Gibbs v. Consol. Gas Co. of Baltimore City*, 130 U.S. 396, 412 (1889); "[i]t is clear that a contract which violates the laws of the United States and contravenes the public policy as expressed in those laws is unenforceable," *Kaiser-Frazer Corp. v. Otis & Co.*, 195 F.2d 838, 843 (2d Cir.), cert. denied, 344 U.S. 856 (1952); and "[a] contract contrary to the public policy * * * will not be enforced, particularly if that public policy is evidenced by a statute which the contract contravenes." *Lakos v. Saliaris*, 116 F.2d 440, 444 (4th Cir. 1940). Since any contract term that contravenes a federal statute is voidable at common law, it follows that "the grounds at law * * * for the revocation of any contract" include positive federal law such as section 3(8) of COGSA, which specifically renders contract terms at variance with COGSA "null and void and of no effect".

²³ This Court's decision in *Southland Corp. v. Keating*, 465 U.S. 1 (1984), does not require a contrary result. In *Southland*, the Court, enforcing the Supremacy Clause, held that a provision of the California Franchise Investment Law—which purported to prohibit any contractual clause waiving the right to judicial consideration of franchisee claims—was inconsistent with the FAA and therefore invalid. The Court explained that the "defense to arbitration found in the California Franchise Investment Law was not a ground that exists at law or in equity 'for the revocation of any contract' but merely a ground that exists for the revocation of arbitration provisions in contracts subject to the [state act]." *Id.* at 16 n.11. But the Court was careful to note the context in which it made the point, emphasizing that if this defense were sufficient, states would be able "to override the declared policy requiring enforcement of arbitration agreements." *Ibid.* The Court did not purport to decide the quite different question whether a federal, rather than a state, statute affords grounds at law for the revocation of a contract for purposes of section 2 of the FAA.

cilable by their terms, the court of appeals had no basis for seeking to resolve a "conflict" between the two statutes.²⁴

2. The policies underlying the two statutes do not conflict in this setting

The court of appeals mistakenly predicated its decision on what it termed "the strong federal policy favoring arbitration." Pet. App. 12a. Arbitration policy under the FAA does not conflict with the policies Congress expressed in COGSA.

a. First and foremost, the court of appeals overlooked the fundamental principle that "the FAA does not require parties to arbitrate when they have not agreed to do so * * *." *Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University*, 489 U.S. 468, 478 (1989). The FAA "simply requires courts to enforce privately negotiated agreements to arbitrate * * *." *Ibid.* "Arbitration under the Act is a matter of consent, not coercion * * *." *Id.* at 479. Although this Court has articulated a "strong presumption" in favor of arbitration provisions, it has been careful to limit that presumption to "freely negotiated" provisions. *Mitsubishi Motors*, 473 U.S. 614, 631 (1985). Only when a party has voluntarily "agree[d] to arbitrate a statutory claim"—and has "trade[d] the procedures and opportunity for review of the courtroom for the simplicity, informality and expedition of

²⁴ The court of appeals also lost sight of another fundamental principle: "As the 'saving clause' in § 2 [of the FAA] indicates, the purpose of Congress in 1925 was to make arbitration agreements as enforceable as other contracts, *but not more so*." *Prima Paint Corp. v. Flood & Conklin Manufacturing Co.*, 388 U.S. 395, 404 n.12 (1967) (emphasis added). See *Volt Information Sciences, Inc. v. Board of Trustees of the Leland Stanford Junior University*, 489 U.S. 468, 478 (1989). An arbitration clause in a bill of lading is therefore just as subject to section 3(8) of COGSA as any other "clause, covenant or agreement," 46 U.S.C. 1303(8), in a bill of lading that lessens a carrier's liability. By permitting an arbitration clause to trump the command of COGSA, the court of appeals effectively elevated arbitration provisions above all other provisions that might run afoul of COGSA.

arbitration" (*id.* at 628)—do the policies of the FAA come into play.²⁵ In short, this Court has never articulated a "federal policy" that requires the enforcement of arbitration agreements at all costs—but only where, in the Court's word, the parties have "agreed" to arbitrate.

That fundamental premise of arbitration policy is not implicated here. As the court below recognized, "maritime bills of lading have been viewed as contracts of adhesion" (Pet. App. 8a-9a n.4), and with good reason. An ocean carrier's adhesionary form bill of lading lacks all measure of mutual consent.²⁶ The present case is no exception: here, as in *Wesermunde*, "[t]here is no evidence that the terms of the bill of lading in this case were agreed to through hard bargaining; rather they appear to be the form clauses of adhesion contracts," 838 F.2d at 1582 (citing *Union Ins. Soc. of Canton, Ltd.*, 642 F.2d at 724).²⁷ Petitioner did not agree to arbitrate

²⁵ In *Mitsubishi Motors*, *supra*, for example, in holding that an arbitration clause covered federal antitrust claims, the Court pointedly noted that respondent did not even "attempt[]" to show that the arbitration clause was anything but voluntary. 473 U.S. at 632-633. See also *The Bremen v. Zapata Off-Shore Co.*, 407 U.S. 1, 14 (1972) (upholding forum selection clause where there was "strong evidence that the forum clause was a vital part of the agreement" between the parties, and that "it would be unrealistic to think that the parties did not conduct their negotiations, including fixing the monetary terms, with the consequences of the forum clause figuring prominently in their calculations").

²⁶ See *United States v. Farr Sugar Corp.*, 191 F.2d 370, 374 (2d Cir. 1951), *aff'd. sub nom. United States v. Atlantic Mut. Ins. Co.*, 343 U.S. 236 (1952) (recognizing that a bill of lading is a contract "in name only" and that the "lack of equality of bargaining power" between shipper and carrier "has long been recognized in our law"). See also *Gamma-10 Plastics v. American President Lines, Ltd.*, 32 F.3d 1244, 1251 (8th Cir. 1994) ("A bill of lading is a contract of adhesion that is strictly enforced against the carrier"); *Allied Chemical Int'l Corp. v. Companhia de Navagacao Lloyd Brasileiro*, 775 F.2d 476, 482 (2d Cir. 1985) ("We bear in mind that bills of lading are contracts of adhesion and, as such, are strictly construed against the carrier"), *cert. denied*, 475 U.S. 1099 (1986).

²⁷ The district court (by erroneously applying state law in a maritime case) declined to find that the foreign arbitration clause in this case

its claim in Tokyo, and virtually no bill-of-lading endorsee ever sees, much less consents to, the boilerplate terms in the form bills of lading that carriers issue to shippers at the loading ports.

To be sure, the purchaser of the cargo, by "generally operative principles of contract law," *Fisser v. Int'l Bank*, 282 F.2d 231, 233 (2d Cir. 1960), becomes a party to the bill of lading when the shipper endorses the bill of lading over to it. But that does *not* mean that the cargo owner thereby *consents* to the foreign arbitration clause, or any other term in the carrier's bill of lading. More to the point, one of the main purposes of COGSA is to regulate bills of lading *lest* "generally operative principles of contract law" enable carriers to impose unreasonable terms on shippers and receivers.²⁸ Enforcing a foreign arbitration clause would violate that purpose—without advancing the FAA policy of effectuating "freely negotiated" arbitration agreements. *Mitsubishi Motors*, 473 U.S. at 631. The two statutory policies are simply not in conflict.

b. The court of appeals also overlooked this Court's reminder that, notwithstanding the presumption in favor of arbitration, "not * * * all controversies implicating statutory

was technically adhesionary (Pet. App. 20a). That finding, however, does not contradict the more fundamental point that ocean bills of lading are invariably *wholly* nonconsensual, or, in any event, *sufficiently* nonconsensual that the policies in COGSA take precedence over those in the FAA. The arbitration policy in the FAA is grounded in meaningful consent to arbitrate. In the case of bill-of-lading terms—to which the cargo owner never consents—COGSA takes precedence.

²⁸ See *Standard Electrica, S.A. v. Hamburg Sudamerikanische*, 375 F.2d 943, 945 (2d Cir.) ("When COGSA was enacted in 1936, it had as its central purpose the avoidance of adhesion contracts, providing protection for the shipper against inequality in bargaining power."), *cert. denied*, 389 U.S. 831 (1967). See also Charles L. Black, Jr., *The Bremen, COGSA and the Problem of Conflicting Interpretation*, 6 Vand. J. Trans. L. 365, 368 (1973) ("almost all bills of lading are boilerplate contracts of purest adhesion; all the statutory law dealing with them starts from the policy premise that their holders need protection from the overreaching of their utterers").

rights are suitable for arbitration." *Mitsubishi Motors*, 473 U.S. at 627. "Like any statutory directive, the [FAA]'s mandate may be overridden by a contrary congressional command." *Shearson/American Express, Inc. v. McMahon*, 482 U.S. 220, 226 (1987). Federal arbitration policy can, and does, accommodate competing federal statutory policies. And "[j]ust as it is the congressional policy manifested in the Federal Arbitration Act that requires courts liberally to construe the scope of arbitration agreements covered by that Act, it is the congressional intention expressed in some other statute on which the courts must rely to identify any category of claims as to which agreements to arbitrate will be held unenforceable." *Mitsubishi Motors*, 473 U.S. at 627.

The "congressional intention expressed" in COGSA—the "other statute"—requires that the general arbitration policy accommodate the purposes and policies of COGSA. As noted above, foreign arbitration clauses frustrate Congress' objective to achieve through COGSA the "uniformity and simplification" of bills of lading, *Uniform Ocean Bills of Lading—Hague Rules*, H.R. No. 2218, 74th Cong., 2d Sess. 6-7 (1936); they introduce undesirable "uncertainty concerning the responsibilities and liabilities of carriers, the responsibilities and rights of shippers and the liabilities of underwriters who insure waterborne cargo," *Union Ins. Soc. of Canton*, 642 F.2d at 723; and they defeat Congress' objective "to enhance the currency and negotiability of ocean bills of lading," *Portland Fish Co.*, 510 F.2d at 632. And while the legislative policy in the FAA is the "prompt, economical and adequate solution of controversies," *Rodriguez de Quijas v. Shearson/American Express, Inc.*, 490 U.S. 477, 479-80 (1989) (quoting *Wilko v. Swann*, 346 U.S. at 438), foreign arbitrations in remote jurisdictions unrelated to the claim would frequently prove the reverse. Such proceedings would be protracted, prohibitively expensive and—given the inevitable handicaps, evidentiary and otherwise, in presenting a cargo damage claim halfway around the world—exceed-

ingly inadequate. Such risks may be properly borne by a party who has freely consented to arbitrate bill-of-lading claims overseas, but not by parties on whom a foreign arbitration has been unilaterally imposed.²⁹

The interference with COGSA is especially damaging where, as here, a foreign arbitration clause is coupled with a bill-of-lading requirement that foreign law will be applied by the foreign arbitrators. In that event, enforcing a foreign arbitration clause against a nonconsenting cargo owner imposes not only the *threat*, but the virtual *certainty*, that COGSA will not apply, despite Congress' command that "every" bill of lading "have effect" subject to COGSA. 46 U.S.C. 1300, 1312. This Court has quite explicitly stated that, under those circumstances, the arbitration clause should not be enforced: "in the event the choice-of-forum and choice-of-law clauses operated in tandem as a prospective waiver of a party's right to pursue statutory remedies * * *, we would have little hesitation in condemning the agreement as against public policy." *Mitsubishi Motors*, 473 U.S. at 637 n.19. Foreign arbitration clauses are invariably unenforceable under COGSA, and even more so when (as here) they are coupled with a foreign law provision.³⁰

²⁹ As explained in *Shearson/American Express, Inc. v. McMahon*, 482 U.S. 220, 229 (1987) (citing *Scherk v. Alberto Culver Co.*, 417 U.S. 506, 518 (1974)), "arbitration reduce[s] the uncertainty of international contracts," but only in contracts that raise thorny conflicts-of-law issues. At the same time, it "obviate[s] the danger that a dispute might be submitted to a hostile or unfamiliar forum." *Ibid.* But in COGSA claims, there are *no* conflicts-of-law issues: COGSA is controlling. And far from ensuring *against* the use of a "hostile or unfamiliar forum" (*ibid.*), a foreign arbitration clause—particularly in cases like this one, where the clause submits the case to a jurisdiction almost wholly unconnected to the merits of the claim—*requires* recourse to a "hostile" but in all events "unfamiliar" forum.

³⁰ Unlike in *Rodriguez de Quijas v. Shearson/American Express, Inc.*, 490 U.S. 477 (1989), where "nothing in the record * * *, nor in the facts of which we can take judicial notice, indicate[d] that the arbitration system * * * would not afford the plaintiff the rights to which he

The court in *Wesermunde* struck the right balance. While "arbitration in and of itself is [not] *per se* violative of COGSA's provisions, especially in light of Congress's encouragement of arbitration by its enactment of the [FAA]," 838 F.2d at 1581, "a provision requiring arbitration in a *foreign* country that has no connection with the performance of the bill of lading contract or the making of the bill of lading contract * * * conflict[s] with COGSA's general purpose of not allowing carriers to lessen their risk of liability." *Ibid.* (emphasis in the original). In these circumstances, "federal arbitration policy" must accommodate COGSA.

3. Assuming, arguendo, that the statutes are in conflict, COGSA takes precedence

a. COGSA is the more specific statute

Applying the maxim "the specific statute ordinarily controls the general" (Pet. App. 12a), the court of appeals picked the FAA as the "specific" statute. In its view, "the FAA specifically validates arbitration clauses contained in maritime bills of lading" (*ibid.*) and therefore trumps COGSA, which "makes no reference to arbitration, or for that matter, forum selection clauses" (*ibid.*). For two reasons, we believe the court of appeals got it backwards.

First, the FAA generally governs many different types of maritime contracts, of which "bills of lading of water carriers" are but one category. 9 U.S.C. 1. COGSA, in contrast, is directed solely and specifically to ocean bills of lading, and section 3(8) of COGSA is addressed to specific "clause[s], covenant[s] and agreement[s]" in ocean bills of lading that relieve or lessen a carrier's liability. What is more, COGSA, unlike the FAA, focuses specifically on contracts for the car-

is entitled," *id.* at 483, the unauthorized application of Japanese law in a Japanese forum would unquestionably deprive the cargo owner of the COGSA "rights to which [it] is entitled" (*ibid.*).

riage of goods to and from the United States—precisely the kind of contract at issue in this case.³¹

Second, as noted in *Mitsubishi Motors, supra*, 473 U.S. at 628 (emphasis added), “it is the congressional intention expressed in *some other statute* on which the courts must rely to identify any category of [statutory] claims as to which agreements to arbitrate will be held unenforceable.” (Emphasis added.) The “other statute,” COGSA, is necessarily the specific statute, and the congressional policies expressed in COGSA determine whether a foreign arbitration clause in an ocean bill of lading is enforceable. See 16 *Williston on Contracts* § 1923 (1976) at 561 (“As in other situations, if an agreement for arbitration contravenes a specific provision of another federal statute, the specific provision will prevail and the agreement will not be enforced”).³² If the FAA, purportedly the specific statute, “alone” governs the validity of the arbitration clause (Pet. App. 10a)—solely because, as the court of appeals held, COGSA “makes no reference to arbitration” (Pet. App. 12a)—the FAA would automatically preempt all federal legislation that, like COGSA, “makes no reference to arbitration.” But the FAA does not have such preemptive effect. It follows, in our view, that COGSA is the “more specific statute” for these purposes.

³¹ Even the authority cited by the court of appeals supports this view (Pet. App. 12a). As stated in 2B *Sutherland Statutory Construction* § 51.05 at 174, “[w]here one statute deals with a subject in general terms, and another deals with a part of the same subject in a more detailed way, the two should be harmonized if possible; but if there is any conflict, the latter will prevail, regardless of whether it was passed prior to the general statute, * * *.” COGSA, and section 3(8) in particular, unquestionably deal with the rights and liabilities of parties to ocean bills of lading in the “more detailed way.”

³² Cf. *Union Ins. Soc. of Canton, Ltd.*, 642 F.2d at 725 (“We think the general policy [favoring enforcement of forum selection clauses generally] here must recede before the specific policy enunciated by Congress through COGSA”).

b. COGSA, the specific statute, takes priority over the FAA, the general statute, regardless of date of enactment

Relying on the canon of interpretation that “a later enacted statute generally limits the scope of an earlier statute if the two laws conflict” (Pet. App. 11a), the court of appeals held that “the FAA must be given priority over COGSA in light of the FAA’s reenactment in 1947, eleven years after COGSA was passed.” *Id.* 12a (a highly doubtful proposition given the limited purpose of the 1947 legislation, explained *infra* at 37-38). But in doing so the court of appeals erred by ignoring a weightier canon: the “cardinal principle of construction that repeals by implication are not favored.” *United States v. Borden Co.*, 308 U.S. 188, 198 (1939). As this Court has repeatedly made clear, “a later statute will not be held to have implicitly repealed an earlier one unless there is a clear repugnancy between the two.” *United States v. Fausto*, 484 U.S. 439, 452-53 (1988). Absent such a “clear repugnancy”—and here, for the reasons noted above, the statutes are readily reconciled—a later-enacted statute effects a repeal only when an intent to repeal is “clear and manifest.” *United States v. Borden Co.*, 308 U.S. at 198. There is *no* evidence—much less “clear and manifest” evidence—that Congress intended the FAA to repeal COGSA in the context of maritime bills of lading.³³

This fundamental principle applies not only when a later-enacted statute is said to *repeal* an earlier one, but also when the later statute is said to permit simply the *evasion* of the

³³ Repeals by implication fall into “two categories”—(1) where provisions in the two acts are in “irreconcilable conflict,” and (2) where the later act “covers the whole subject of the earlier one and is clearly intended as a substitute.” *Kremer v. Chemical Const. Corp.*, 456 U.S. 461, 468 (1982) (quoting *Radzanower v. Touche Ross & Co.*, 426 U.S. 148, 154 (1976) (quoting *Posadas v. National City Bank*, 296 U.S. 497, 503 (1936))). “But, in either case, the intention of the legislature to repeal must be clear and manifest.” *Ibid.*

earlier act. The Court has been "as hesitant to infer that Congress intended to authorize evasion of a statute at will as * * * to infer that Congress intended to narrow the scope of a statute." *United States v. United Continental Tuna Corp.*, 425 U.S. 164, 169 (1976). "Both types of 'repeal,' the Court has explained, 'involve the compromise or abandonment of previously articulated policies' (*ibid.*). In such circumstances, the Court 'would normally expect some expression by Congress that such results are intended,' particularly where 'the 'repeal' would extend to virtually every case to which the statute had application." *Ibid.* Here, as we have noted, there is no such expression.³⁴

But even if priority of enactment mattered at all, it would not matter enough, because COGSA, the specific statute, would still take precedence. See 2B *Sutherland Statutory Construction* § 51.05 at 174. "It is a basic principle of statutory construction that a statute dealing with a narrow, precise and specific subject is not submerged by a later enacted statute covering a more generalized spectrum. 'Where there is no clear intention otherwise, a specific statute will not be controlled or nullified by a general one, regardless of the priority of enactment.' " *Radzanower v. Touche Ross & Co.*, 426 U.S. 148, 153 (1976) (quoting *Morton v. Mancari*, 417 U.S. 535, 550-51 (1974)). Accord, *Crawford Fitting Co. v. J.T. Gibbons, Inc.*, 482 U.S. 437, 445 (1987).³⁵ Under this maxim, it matters not when the FAA was enacted: COGSA is indisputably the specific statute, and its policies are controlling.

³⁴ Cf. *AVC Nederland B.V. v. Atrium Inv. Partnership*, 740 F.2d 148, 160 (2d Cir. 1984) (noting that not only is there "no possibility of reading a 'foreign exception' into COGSA", in light of the wording of 46 U.S.C. 1300, but "[a] 'foreign' exception would swallow the whole; * * *").

³⁵ See also *Busic v. United States*, 446 U.S. 398, 406 (1980) ("* * * a more specific statute will be given precedence over a more general one, regardless of their temporal sequence"); *Bulova Watch Co. v. United States*, 365 U.S. 753, 758 (1961) (applying "familiar law that a specific statute controls over a general one 'without regard to priority of enactment' ") (quoting *Townsend v. Little*, 109 U.S. 504 (1883)).

Nonetheless, it is highly doubtful that the 1947 Act (Act of July 30, 1947, ch 392, § 1, 61 Stat. 669) makes the FAA the "later enacted statute" (Pet. App. 11a). The 1947 Act was a verbatim restatement of the existing code provisions (first passed in 1925, eleven years before COGSA). It simply made the United States Code the authoritative source for the text of the FAA, in contrast to the earlier-enacted Statutes at Large.³⁶ The purpose and effect of the 1947 Act were solely evidentiary; the 1947 Act neither altered existing law nor afforded the FAA any sort of substantive preference over COGSA or

³⁶ If not enacted into positive law, the titles of the United States Code are merely prima facie evidence of the laws of the United States rather than the authoritative text of those laws. 1 U.S.C. 204(a). Enacted on July 30, 1947, 1 U.S.C. 204(a) provides that "whenever titles [of the United States Code] have been enacted into positive law the text thereof shall be legal evidence of the laws therein contained, in all courts of the United States, * * * ." Act of July 30, 1947, c. 388, § 1, 61 Stat. 638. On the same day, Congress also passed the 1947 Act. Its purpose was only to "codify and enact into positive law the various provisions of laws now contained in title 9 of the United States Code. Under existing law these sections of title 9 of the United States Code are merely prima facie evidence of the law." H.R. Rep. No. 255, 80th Cong., 1st Sess. (1947). The 1947 Act was therefore simply "one of a series of bills * * * having as their ultimate purpose the enactment into positive law [of] all of the titles of the United States Code." *Ibid.* Its "scope" was to take "each section of title 9 of the United States Code, 1940 edition as of January 2, 1947, and without any material change enact[] each section into positive law." *Ibid.* Tellingly, "[n]o attempt [was] made in this bill to make amendments in existing law." *Ibid.* Any substantive amendments were "left to amendatory acts to be introduced after the approval of this bill." *Ibid.*

Furthermore, because the 1947 Act is "almost identical" to the superseded sections of title 9, and "there has never been a moment of time" when the FAA "has not been in force," the 1947 Act is merely a "continuation" of the earlier enacted code sections. *Bear Lake & River Waterworks & Irrigation Co. v. Garland*, 164 U.S. 1, 11-12 (1896). See also *Posadas v. National City Bank of New York*, 296 U.S. 497, 505 (1936) (also acknowledging the common-law rule that "provisions of a prior statute, so far as they are reproduced in a later one, are to be construed as a continuation of such provisions and not as a new enactment").

any other statute; and "[e]ven where Congress has enacted a codification into positive law, * * * it will not be inferred that Congress, in revising and consolidating the laws, intended to change their effect unless such intention is clearly expressed." *United States v. Welden*, 377 U.S. 95, 98 n.4 (1964).³⁷

* * *

The short of the matter is this: COGSA and the FAA are not in "conflict," as the court of appeals mistakenly supposed. The statutes are easily reconcilable and in this setting COGSA controls. Under section 3(8), a foreign arbitration clause in an ocean bill of lading, particularly when (as here) coupled with a foreign law clause, is "null and void and of no effect."

³⁷ To be sure, Congress amended the FAA in 1970 when it enacted The Convention on the Recognition and Enforcement of Foreign Arbitral Awards of June 10, 1958 ("Convention"), [1970] 3 U.S.T. 2517, T.I.A.S. No. 6997, as chapter 2 of the FAA, 9 U.S.C. 201-08. The court of appeals did not address the Convention, no doubt because respondents moved to stay petitioner's action only under chapter 1 of the FAA, 9 U.S.C. 1-15 (J.A. 21, 28, 36-37), and the district court entered its stay order pursuant only to 9 U.S.C. 3 (Pet. App. 25a).

CONCLUSION

For the foregoing reasons, the judgment of the court of appeals should be reversed.

Respectfully submitted,

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